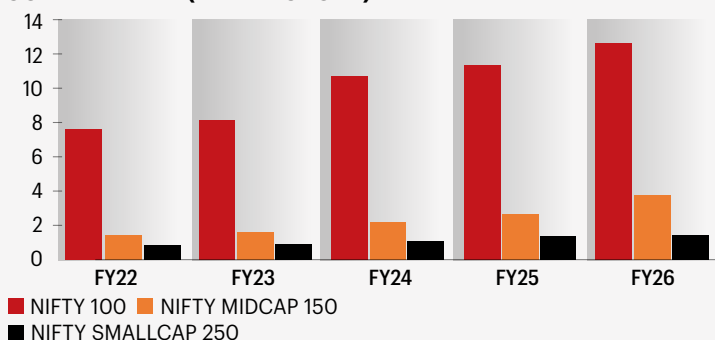


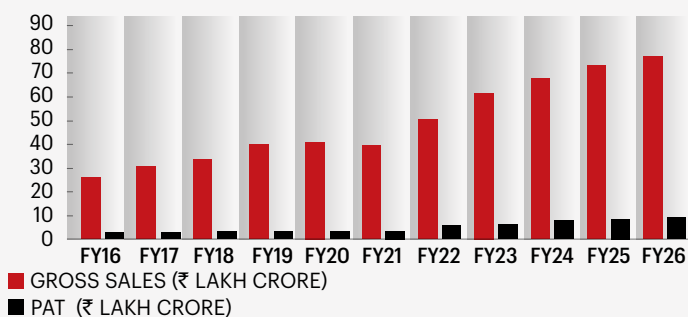
LARGE-CAPS LEAD, MID-CAPS SURGE

The large-cap segment remained the largest profit contributor among Nifty 500

COMBINED PAT (₹ LAKH CRORE)

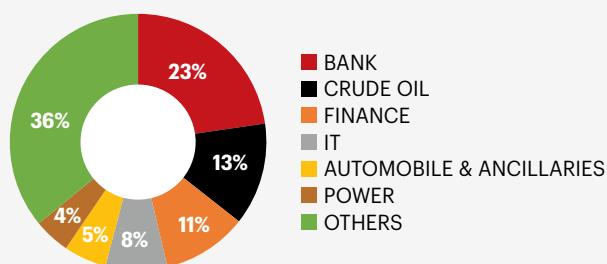


NIFTY 50 REVENUE AND PROFITS ON THE UP

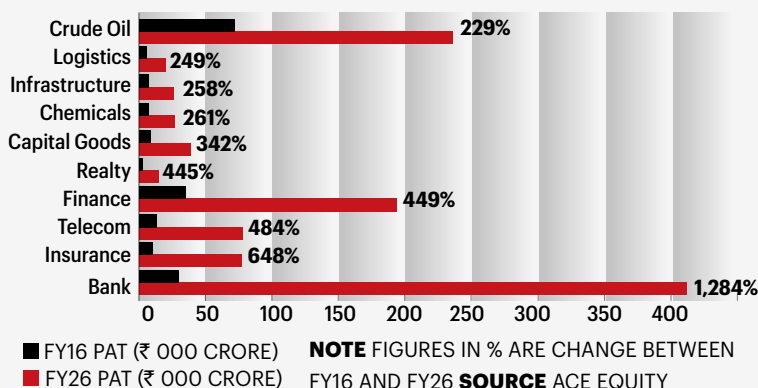


BANKING LEADS

The sector remained the largest profit contributor among Nifty 500 sectors



HIGHEST PAT GROWTH IN A DECADE ACROSS MAJOR SECTORS



NOTE FIGURES IN % ARE CHANGE BETWEEN FY16 AND FY26 SOURCE ACE EQUITY

payments reflected stronger earnings generation and demonstrated that profit growth had been broad-based and sustainable.

GROWING RESILIENCE

Taken together, the data suggests that corporate India's net profit growth has been driven by a combination of factors: sustained revenue expansion, improved operating margins, better cost management, stronger balance sheets and reduced financing costs relative to earnings.

In FY25, one of the biggest changes in India Inc was a revival in capital expenditure. Whether that has continued can be confirmed only when data for FY26 is available. According to industry data, aggregate capex of Nifty 500 companies increased from ₹3.91 lakh crore in FY16 to ₹9.98 lakh crore in FY25. The increase indicates that companies are moving beyond balance sheet repair and focusing on expansion.

Capex growth slowed during FY20 and FY21, partly because of economic uncertainty caused by the pandemic, but investment recovered strongly from FY22 onwards.

Capex increased 17% in FY22, followed by 25% growth in FY23 and nearly 20% in FY24. By FY25, spending reached ₹9.98 lakh crore, growing 12.4%. Increase in capital spending has been accompanied by higher borrowings. That has come alongside stronger profitability and investment, suggesting firms are using leverage to fund expansion rather than merely support operations.

MARKET PERFORMANCE

In FY26, profits of large-cap stocks jumped 12% YoY, while stocks of companies on the Nifty small cap 250 index posted a negligible 2% rise. Nifty midcap 150 stocks delivered robust 42% profit growth in the last financial year.